Employer Payroll and Worker Classification Obligations

Illustrative regulatory summary prepared for compliance-review demonstration. This document paraphrases publicly available Canada Revenue Agency (CRA) guidance for testing purposes and is not an official CRA publication.

Section 1 - Determining Worker Status: Employee vs. Self-Employed

Reference: CRA Guide RC4110, Employee or Self-Employed. Where a worker is engaged under a contract of service, the worker is an employee and the payer must withhold and remit Canada Pension Plan (CPP) contributions, Employment Insurance (EI) premiums, and income tax. Where the worker is engaged under a contract for services, the worker is self-employed and these source deductions do not apply.

The CRA assesses the true nature of the working relationship using established common-law factors: (a) the level of control the payer has over the worker's tasks and hours; (b) whether the worker provides their own tools and equipment; (c) whether the worker can subcontract the work or hire helpers; (d) the degree of financial risk borne by the worker; (e) the worker's opportunity for profit; and (f) the degree of integration of the work into the payer's business.

A worker who provides services exclusively to one payer, works primarily from the payer's premises, uses equipment and software supplied by the payer, and has no other clients exhibits strong indicators of an employer-employee relationship, regardless of any label of 'independent contractor' or the issuance of a T4A slip. Misclassification exposes the payer to assessments for unremitted CPP and EI (both employer and employee portions), plus penalties and interest. Either party may request a CRA ruling on status using Form CPT1.

Section 2 - T4 Information Return Filing Deadlines

Employers must file the T4 information return and provide T4 slips to employees on or before the last day of February following the calendar year to which the slips apply. Returns filed after this deadline are subject to late-filing penalties.

The penalty is graduated by the number of information slips filed late. For 1 to 5 slips the CRA may assess a flat penalty; for larger volumes the penalty is a per-day amount (to a maximum of 100 days) scaled by the number of slips, with minimum and maximum amounts. Repeated late filing increases exposure and may attract additional scrutiny of the employer's payroll practices.

Section 3 - Source Deduction Remittance Requirements

Amounts withheld for income tax, CPP, and EI are held in trust for the Receiver General and must be remitted according to the employer's assigned remitter type (regular, quarterly, or accelerated). Remittance frequency is based on the employer's average monthly withholding amount.

Failure to remit, or remitting late, results in a penalty on the amount that was required to be remitted, plus interest. An employer who manages payroll internally without a third-party processor bears full responsibility for correct calculation, timely remittance, and accurate year-end reporting.

Section 4 - Employment Expenses and Form T2200

An employee may deduct certain employment expenses (including a portion of home office and motor vehicle costs) only if the employer certifies that the conditions of employment required the employee to incur those expenses. Certification is provided on Form T2200, Declaration of Conditions of Employment, signed by the employer and retained by the employee.

Where a director or employee claims a home office deduction without a signed T2200 on file for the relevant tax year, the deduction may be denied on review. The employer should ensure a properly completed T2200 exists for every individual claiming employment-related deductions.